CITY OF SAN MATEO

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Agenda Report

Agenda Number: 12 | Section Name: CONSENT CALENDAR | Account Number: 10-511 | File ID: 26-11633

TO: City Council

FROM: Alex Khojikian, City Manager

PREPARED BY: Police Department

MEETING DATE: October 05, 2026

SUBJECT:
Master Services Purchasing Agreement — Amendment

RECOMMENDATION:
Approve Amendment No. 1 to the Master Services and Purchasing Agreement with Axon Enterprise, Inc., to provide Automated License Plate Readers and related technology for a 98 month term in the amount of $1,145,260.45, for a new cumulative agreement total of $8,495,312.58; and authorize the Chief of Police to execute the agreement in substantially the form presented.

BACKGROUND:
The San Mateo Police Department currently uses Automated License Plate Reader (ALPR) technology as an investigative and public safety tool. ALPR systems assist law enforcement in identifying vehicles associated with reported crimes, locating vehicles of interest, and developing investigative leads. The Police Department has found ALPR technology to be a valuable resource in supporting criminal investigations and enhancing situational awareness.

The City has an agreement with Flock Safety for ALPR hardware and services which remains effect through 2028. In addition, the City has a Master Services and Purchasing Agreement (MSPA) with Axon Enterprise Inc., for the provision of various public safety technologies and services. Axon has offered the opportunity to deploy its ALPR technology at the City's existing fixed ALPR locations. The proposed deployment is intended to provide the Police Department with an opportunity to evaluate an additional ALPR platform and determine whether Axon's technology can meet the Department's operational, investigative, security, privacy, and data-management requirements. The Police Department's interest is in the capabilities and value of ALPR technology, rather than in maintaining a particular vendor or platform solely because it is currently already in use.

Operational Considerations
The proposed amendment provides an opportunity to evaluate whether Axon's ALPR platform can provide improved functionality while offering operational advantages through integration with the City's existing Axon technology environment. Axon's ALPR platform is integrated into the broader Axon ecosystem used by the Police Department. Deploying the Axon cameras at existing ALPR locations will allow the Department to conduct a practical comparison of the systems under similar operating conditions. The Department can assess factors such as:

- ALPR detection and recognition performance;
- reliability and system uptime;
- quality and usability of investigative searches;
- integration with existing Department technology;
- administrative and user management;
- data security and access controls;

- auditing and reporting capabilities;
- data retention and management;
- officer and investigator usability; and
- overall cost and value.

These considerations will inform the Department's ongoing management and evaluation of ALPR technology and help ensure the system meets the operational, security, and public safety needs.

Proposed Amendment

Amendment No. 1 to the MSPA would expand the Police Department's existing Axon technology suite to include additional ALPR cameras. For clarity, the proposed agreement includes an initial deployment of 45 ALPR cameras, plus one unmounted spare camera to be maintained as a replacement unit. Of the 45 deployed cameras, the City will pay for 40, and Axon will provide 5 at no cost. In Year 2, the City will purchase an additional 14 cameras, bringing the total deployment to 59 cameras (54 City-funded and 5 provided at no cost), plus one spare. At the equipment refresh scheduled for the end of the contract term in January 2035, the 5 cameras provided at no cost will not be replaced, leaving 54 deployed cameras plus one spare. The Axon cameras would be deployed in the same general locations currently served by the City's Flock ALPR cameras. The Department would therefore be able to evaluate the Axon system using comparable locations and operational conditions while continuing to maintain its existing Flock service through the expiration of the current agreement in 2028.

Axon has offered the initial ALPR hardware at no cost during the first 12 months of the deployment. The proposed terms provide the City with the ability to discontinue the Axon ALPR service during that initial 12-month period without a penalty or obligation to pay for the hardware. If service is continued beyond the initial 12 months and is subsequently terminated, the City would be responsible for the applicable hardware costs as specified in the amended agreement.

The proposed amendment adds hardware and services for a 98 month term, intended to run coterminously with the Axon MSPA so that all services expire on the same date. The payment plan is summarized in Table 1, and has been structured so that no payment for the Axon ALPR service is due until June 2028. This structure allows staff to utilize the Axon platform concurrently with the existing Flock system without creating duplicative costs during the remaining term of the City's Flock agreement.

Payment Date	**Total**
June 1, 2028	$145,000.97
June 1, 2029	$150,801.02
June 1, 2030	$156,833.07
June 1, 2031	$163,106.38
June 1, 2032	$169,630.63
June 1, 2033	$176,415.87
June 1, 2034	$183,472.851
Total	**$1,145,260.45**

Table 1: MSPA Amendment 1 Payment Summary

The Police Department considers ALPR technology an important investigative and public safety resource. The amendment provides the City with a low-risk opportunity to evaluate an additional ALPR platform while maintaining existing ALPR capabilities, avoiding duplicative near-term service costs, and allowing the Police Department to conduct appropriate due diligence regarding technology performance, data security, privacy, access, and operational value.

BUDGET IMPACT:

There is no immediate financial impact associated with the initial deployment of the Axon ALPR cameras under the proposed amendment. Axon will provide the cameras for the first 12-months at no hardware cost and without a cancellation penalty. Beginning in June 2028, the City would incur annual payments for the Axon ALPR system as shown in Table 1. The payment schedule allows the City to continue its existing Flock ALPR service through the remainder of the current Flock agreement without incurring costs for both ALPR platforms during the period in which the City is already

contractually obligated to Flock. The annual cost of the Axon ALPR system is consistent with the City's current annual cost for Flock ALPR services. Funding for the Axon ALPR system would begin in June 2028 and would be included in the appropriate future fiscal year operating budgets, subject to the City's normal budget approval process.

ENVIRONMENTAL DETERMINATION:
This action is not a project subject to CEQA, because it can be seen with certainty that it will not cause a physical change in the environment. (Public Resources Code Section 21065.)

STRATEGIC PLAN ALIGNMENT
This staff report supports the Public Safety initiative.

NOTICE PROVIDED
All meeting noticing requirements were met.

ATTACHMENTS
Att 1 – Proposed Amendment No. 1

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